

to financial outcomes. Joint discussion among couples can help in framing clear family financial decisions which could also include growing or adult children so that everyone knows where they stand and the family's financial position.

4. NOT HAVING A BUDGET

It is easy to put off saving when you are young and live paycheque-to-paycheque. By not knowing where your money goes, you live a life that can be a challenge for your finance. Such a habit can be harmful to your financial future.

THE SOLUTION: Understand where and how much money comes in and where it goes. Having a budget helps you allocate money towards different aspects, be it saving, investing or spending.

5. DOING IT YOURSELF

Developing your own financial plan can be daunting which is why people postpone the decision to have a plan in the first place.

THE SOLUTION: A few things are best left to experts, since the DIY approach to financial planning is not for everyone. A certified financial planner is familiar with the whole exercise of assessing a person's financial needs and ways to realise them. They can guide you to realise set goals and hand-hold you when the going gets tough. ■

specific purpose. For instance, you may have taken additional life insurance to cover for a huge home loan, but if you have prepaid the loan, the policy may no longer be necessary. Likewise, you may have taken a family floater health policy, but with advancing age and growing children, you may need individual policies. Not updating nominations is a regular mistake, which could decide who receives the policy proceeds.

THE SOLUTION: Check on your existing insurance policies for their purpose once every three years or as and when you hit important life stages such as becoming a parent or approaching retirement or having met with a lifestyle illness. Decide to continue or discontinue policies based on your prevailing circumstances. Likewise, check to see if the beneficiaries named are the people you want now as the ones receiving benefits.

5. RELYING ONLY ON EMPLOYER-PROVIDED INSURANCE

Many workers get group term life insurance and group health insurance as part of their employee benefits packages. While both these are excellent perks that can help protect your family, the policy benefits are often small and not necessarily enough for your specific needs. Moreover, the moment you leave the company, the policy benefits cease.

THE SOLUTION: An employer-provided policy could act as a backup and you should check for its portability when you move companies. There may be additional costs involved when you port the policy from employer-provided to the self-paid option. It is often worth porting health insurance because of the health-related history that resides with the policy, which can decide the cover you get in future.

DO NOT THINK OF INSURANCE PREMIUM AS AN EXPENSE WHEN TAKING A COVER

6. NOT EXPLORING ADD-ONS

There are add-on riders with life insurance and add-ons with health as well as motor insurance and so on. The add-ons have specific cover and address unique needs that can enhance the scope of insurance at a marginal cost.

THE SOLUTION: Consider add-ons offered, the cost and how they help consolidate your insurance needs and include add-ons when taking the base policy to which they can be added. For instance, a critical illness rider with life insurance pays a lump sum when a critical illness is contracted instead of paying you for the treatment. In the case of health insurance, top-up and super top-up are options that enhance the scope of insurance at a marginal cost. There is zero depreciation with car insurance that can come in handy, but all these add-ons need to be included with the policy when you buy it.

7. OVERLOOKING DETAILS

Not stating or concealing facts could result in the denial of insurance benefits. Failing to read the terms and conditions or neglecting the policy document for details can prove to be expensive.

THE SOLUTION: By not stating the medical history of hypertension, for instance, your claim may be denied if the said claim is based on the same fact. Likewise, in case of life insurance policies where a health check-up is necessary, do not forget to mention any specific detail that may return to haunt you at the time of filing your claim. A lot of insurance terms such as co-pay, sub-limits, rider benefits etc. are not easy to comprehend. Make an effort to do so while buying the policy. ■